

**UNITED STATES OF AMERICA
BEFORE THE
FEDERAL ENERGY REGULATORY COMMISSION**

Interconnection of Large Loads to the Interstate Transmission System	))))	Docket No. RM26-4-000
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**REPLY COMMENTS OF
THE SOUTHERN COMPANIES**

Pursuant to the Federal Energy Regulatory Commission’s (“Commission” or “FERC”) October 27, 2025 Notice Inviting Comments and the November 7, 2025 Notice Granting Extension of Time in the captioned proceeding, Georgia Power Company (“Georgia Power”), Alabama Power Company (“Alabama Power”), and Mississippi Power Company (“Mississippi Power”) (together, “Southern Companies”) submit the enclosed reply comments on the October 23, 2025 Advanced Notice of Proposed Rulemaking issued by the Secretary of Energy (“Secretary”) on the subject of large load interconnection to the interstate transmission grid (“ANOPR”).

The ANOPR elicited a voluminous first round of comments. Southern Companies were pleased to see such significant support for the principle underlying the ANOPR – that the energy industry has a critical role to play in the nation’s efforts to win the AI race by facilitating service to large loads. Southern Companies look forward to continued participation in this proceeding.

In the limited time provided, Southern Companies provide the following points of reply, reserving the right to comment further as the record continues to develop and the Commission’s intentions are more clearly laid out in a proposed final rule.

I. REPLY COMMENTS

A. The Record Demonstrates that Certain Regions Are Achieving the Goals of the ANOPR

As set forth in initial comments, Southern Companies appreciate the Secretary's leadership and wholeheartedly endorse the ANOPR's objective of ensuring "timely and orderly interconnection of large loads to the transmission system."¹ Southern Companies further explained that, in the Southeast, the vertically-integrated nature of Southern Companies' operations, paired with pre-existing integrated resource planning procedures, enable Southern Companies to adapt quickly and provide the type of coordinated planning and interconnection operations envisioned in the ANOPR.

While the hundreds of comments filed in the proceeding are diverse and wide-ranging, the still-developing record already demonstrates that some regions have made significant strides in meeting the challenge of interconnecting large loads. Many parties have expressed concern that progress already made could be undermined if the Commission were to enact an overly prescriptive final rule. For example, as discussed in Southern Companies' initial comments, Southern Companies have been able to plan for and support 74% growth in data center load from 2022-2025. Southern Companies have also entered into contracts to serve 7 GW of large load through 2029, added 4 GW of new generation capacity since 2022, and has pending requests to the Georgia Public Service Commission ("GPSC") for another 10 GW of capacity resources.² Georgia Power has been able to meet these rapid needs by working with its state regulator.

¹ Secretary of Energy's Direction that the Federal Energy Regulatory Commission Initiate Rulemaking Procedures and Proposal Regarding the Interconnection of Large Loads Pursuant to the Secretary's Authority Under Section 403 of the Department of Energy Organization Act, Dep't of Energy, at 1 (Oct. 23, 2025), <https://www.energy.gov/sites/default/files/2025-10/403%20Large%20Loads%20Letter.pdf>.

² Preliminary Rulemaking Comments of the Southern Companies, Docket No. RM26-4, at 2-3 (filed Nov. 21, 2025) ("Southern Companies' Comments").

As the GPSC also explains, it has “acted swiftly and prudently in response to unprecedented new demand forecasts.”³ The GPSC further notes that “[t]he vertically integrated market structure in Georgia allows the GPSC to oversee every facet of this load growth and adjust to market conditions as they emerge.”⁴ Similarly, in neighboring areas, the North Carolina Utilities Commission explains that “North Carolina has already taken decisive steps to address the very challenges this ANOPR purports to solve.”⁵

In addition to protecting existing progress, many commenters urge the Commission to maintain regional flexibility. The Missouri Public Service Commission, with utilities in both the Southwest Power Pool and the Midcontinent Independent Service Operator regions, argues that “FERC should consider adopting broad principles that allow for innovation and regional flexibility, rather than narrow prescriptions.”⁶ Meta also argues that “[i]ssuing a detailed, standard rule that fails to account for the diversity in the economic landscape could slow down successful interconnection processes and undermine the Commission’s goal of bringing more data centers online faster and in a more orderly manner.”⁷ The Transmission Access Policy Study Group asserts that the ANOPR “...does not acknowledge the significant differences in large generator interconnection procedures and agreements in RTO versus non-RTO areas, and among the RTOs. There may be additional and new regional differences that must be understood in the context of addressing Qualifying Large Load interconnections, particularly as efforts are already underway

³ Comments of the Georgia Public Service Commission, Docket No. RM26-4, at 2 (filed Nov. 19, 2025).

⁴ *Id.*; *see also* Initial Comments of Microsoft Corporation, Docket No. RM26-4, at 4 (filed Nov. 21, 2025) (explaining its data center investments in Georgia) (“Microsoft Comments”).

⁵ Comments of the North Carolina Utilities Commission, Docket No. RM26-4, at 2 (filed Nov. 20, 2025) (“NCUC Comments”).

⁶ Initial Comments of the Missouri Public Service Commission, Docket No. RM26-4, at 13 (filed Nov. 21, 2025).

⁷ Comments of Meta Platforms, Inc., Docket No. RM26-4, at 3 (filed Nov. 21, 2025) (“Meta Comments”).

in parts of the country to consider these issues.”⁸ ENGIE North America argues that “[i]t will be essential that any new requirements take into account, and at times defer to regional differences and regional knowledge of system conditions.”⁹ The National Rural Electric Cooperative Association similarly asserts that “any assertion of jurisdiction over large-load interconnections should be flexible enough to accommodate regional differences, because maximizing opportunities and minimizing challenges for such load interconnections will vary depending on a number of factors.”¹⁰ Shell Energy North America urges the Commission to “[r]ecognize regional differences in wholesale market designs and grid needs” and asks FERC not to “...impede the ongoing development of regional programs, tariffs, and procedures that support the objectives outlined in the ANOPR.”¹¹

The record already demonstrates that some states and regions have made considerable progress in not just interconnecting large loads but also ensuring power supply for such loads¹² – momentum that could be imperiled by a rule that could inadvertently undermine existing state and regional processes that are already working. There is less consensus at this early stage on how the Commission should take regional differences into account. Some suggest that the Commission can merely permit entities to address these issues in their compliance filings, while others suggest

⁸ Comments of Transmission Access Policy Study Group, Docket No. RM26-4, at 9 (filed Nov. 21, 2025) (“TAPS Comments”).

⁹ Comments of ENGIE North America Inc., Docket No. RM26-4, at 3 (filed Nov. 24, 2025).

¹⁰ Comments of the National Rural Electric Cooperative Association, Docket No. RM26-4, at 6 (filed Nov. 21, 2025) (“NRECA Comments”).

¹¹ Comments of Shell Energy North America (US) L.P., Docket No. RM26-4, at 2 (filed Nov. 24, 2025).

¹² A review of the comments submitted by some of the leading owners and developers of large data centers demonstrate that at their core, they want speedy interconnections predicated upon holistic, integrated transmission and generation planning. See Microsoft Comments at 8 (emphasizing the need for load and generation to be studied together so as to speed up the interconnection process); Meta Comments at 3 (explaining that keeping the momentum in regions that are successfully integrating data centers is “imperative”); Microsoft Comments at 4, 8 (arguing for the need for combined generation and load studies while recognizing that its data center in Atlanta, Georgia came online in October 2025). This is exactly what is currently being provided in the Southern Companies’ footprint and in at least several other regions, and such regional progress should not be lost in a push for national standardization.

that any national rule will, by definition, thwart some element of existing progress. While it is premature to comment fully on such a proposal, mere flexibility in a compliance process is not enough because it assumes that a national standard for load interconnections can be lawfully implemented. Furthermore, establishing a national standard would require those regions that are already successfully interconnecting large loads to seek a variance through the Commission's compliance process, which could be time-consuming, burdensome, and litigious, ultimately slowing interconnections rather than accelerating the goals of the ANOPR. In short, a flexible compliance process would not obviate the need for any final rule to rest on solid legal footing.

B. There Is Near Universal Acknowledgement of Jurisdictional Difficulties

The ANOPR correctly and clearly expressed a desire to avoid interfering with state jurisdiction over retail sales, a principle Southern Companies strongly support. Southern Companies further noted that traditional state jurisdiction over retail utility service should not be overridden, a particularly important principle in regions where the states have retained and exercised jurisdiction over transmission as part of bundled retail service.

Comments on the jurisdictional issues in the ANOPR were numerous. Some noted the potential legal pitfalls of trying to separate load *interconnection* from retail load *service*, especially in vertically-integrated regions. The Edison Electric Institute, for example, suggests that there are existing statutory barriers to the ANOPR's proposed reforms.¹³ The North Carolina Utilities Commission Public Staff argues that, "...it is doubtful that the Commission has authority to order the reforms outlined in the ANOPR, and if it does, its authority is quite narrow."¹⁴ They continue,

¹³ Comments of the Edison Electric Institute, Docket No. RM26-4, at 27 (discussing FPA section 212(h)). Other parties raise the same concern about unlawful ordering of retail wheeling. See NRECA Comments at 13-14; TAPS Comments at 11; Initial Comments of the National Association of Regulatory Utility Commissioners, Docket No. RM26-4, at 4 (filed Nov. 21, 2025).

¹⁴ Comments of North Carolina Utilities Commission Public Staff, Docket No. RM26-4, at 2 (filed Nov. 21, 2025) ("NCUC Staff Comments").

“[a] Commission rule prescribing the methods, timing, and transmission pricing for interconnecting load to the transmission system could not, at the end of the day, provide any right for that load to be actually served as a retail customer, a matter unquestionably reserved to the states alone.”¹⁵ The North Carolina Utilities Commission urges that it “...wants to make certain that FERC will not have jurisdiction over a core component of North Carolina’s regulation of bundled retail electric service: the interconnection of new load.”¹⁶ The Pennsylvania Public Utility Commission warns against “..an unprecedented expansion of Federal jurisdiction and potential intrusion on the states’ historic retail regulatory authority under the Federal Power Act, introducing potential confusion, unintended customer consequences, and/or legal uncertainty where none currently exists.”¹⁷

A diverse group of entities suggest that litigation is a foregone conclusion if the Commission does not respect current boundaries. The Maryland Public Service Commission, for example, predicts that “states are likely to challenge whether FERC can properly exercise jurisdiction over the interconnection of large load.”¹⁸ The Maryland Public Service Commission continues that “...a jurisdictional dispute over load interconnection would be counterproductive to all parties’ interests and should be avoided.”¹⁹

¹⁵ *Id.* at 3.

¹⁶ NCUC Comments at 1.

¹⁷ Comments of the Pennsylvania Public Utility Commission, Docket No. RM26-4, at 6 (filed Nov. 21, 2025); *see also* Motion to Intervene and Comments of DTE Electric Company, Docket No. RM26-4, at 2 (filed Nov. 21, 2025) (“Extending jurisdiction as proposed in the ANOPR, by contrast, is likely to result in significant and protracted litigation that would perversely slow investment rather than spur it.”).

¹⁸ Comments of the Maryland Public Service Commission, Docket No. RM26-4, at 5 (filed Nov. 21, 2025) (“MD PSC Comments”).

¹⁹ *Id.*

Southern Companies agree with a central point of many commenters: the Commission can and should proceed in a manner that avoids unnecessary disputes over jurisdiction concerning FERC-jurisdictional service to retail customers.

C. There is Growing Evidence That a Central Concern Is Power Supply, Highlighting the Value of Integrated Resource Planning

Echoing many of the concerns highlighted in the Department of Energy’s (“DOE”) July 2025 Resource Adequacy Report, several commenters make the point that a federal regime of large load interconnection rules will not address the core concern of power supply needed to fuel the AI boom. For example, the North Carolina Utilities Commission Public Staff explains that “[t]he primary impediment to the electric industry serving large loads is having sufficient reliable energy.”²⁰ Like many commenters, Southern Companies are aware of severe resource adequacy crises in other regions of the country.²¹ Southern Companies explained in their initial comments that their pre-existing integrated resource planning procedures enable Southern Companies to adapt quickly and provide the type of coordinated planning and interconnection operations envisioned in the ANOPR.²² Such integrated resource planning studies provide for the holistic analysis of both the amount of additional power supply and related fuel needed to serve data centers *and* the transmission upgrades required to facilitate their interconnection.

Transmission interconnection reform alone cannot ensure that adequate generating capacity, fuel supply, and supporting infrastructure will exist to serve rapidly growing large loads. In the Southeast, these needs are addressed through state-supervised integrated resource planning

²⁰ NCUC Staff Comments at 3.

²¹ Comments of The PSEG Companies, Docket No RM26-4, at 8 (filed Nov. 21, 2025) (noting resource adequacy concerns “in the PJM region, which has the highest concentration of data center growth while simultaneously experiencing rapid retirement of aging thermal generation resources”).

²² Southern Companies’ Comments at 2.

processes that evaluate generation, fuel, and transmission in a coherent sequence and support timely construction and cost recovery for new resources. In the Southeast, these planning processes—backed by State regulatory authority—are already enabling the reliable service outcomes sought by the ANOPR and should not be inadvertently disrupted.

This integrated resource planning is supported by Southern Companies’ regulatory regime that supports the construction and cost allocation of new generation facilities needed to serve load. As a result of these processes and regulatory structure, Southern Companies have not experienced the type of resource adequacy crises, and the resulting price impacts on consumers, seen elsewhere.²³ While the ANOPR does not take on resource adequacy issues, the Commission should be mindful, while considering load interconnection reforms, not to create obstacles to integrated resource planning processes that already consider power supply, fuel, and transmission together, and which have the State regulatory support needed to build the generation resources to support AI dominance.

D. Speed and Efficacy May Require A Narrow Rule

Finally, many comments reflect considerable concern that the broader any final rule is, the more likely it is to be self-defeating, as speed of reform is lost to litigation and complex compliance processes. A diverse group of voices express concern about how litigation delays could hinder the efficacy of any final rule. The R Street Institute, for example, urges that, “[g]iven the limited time DOE has provided FERC to take final action, FERC should address the issue in a way that enhances its current processes, rather than materially expanding them, which will help the

²³ See Complaint of Independent Market Monitor for PJM v. PJM Interconnection, L.L.C., Docket No. EL26-30-000, at 2-3 (filed Nov. 25, 2025) (arguing that resource adequacy problems exist in PJM that may compromise reliability in the context of proposed data center loads).

Commission ensure a legally durable and sustainable agency rule.”²⁴ Similarly, the Maryland Public Service Commission argues that “...a jurisdictional dispute over load interconnection would be counterproductive to all parties’ interests and should be avoided. To ensure the ANOPR’s goals can be advanced expeditiously, the Commission should consider proceeding down the least disruptive path and abstain from asserting jurisdiction over end-use sales and respect the states’ authority over load interconnections.”²⁵

If the Commission mandates national standards to which states must conform, regions that are already interconnecting large loads in a timely manner would be required to re-engineer successful state-supervised processes to conform to a uniform federal template, inviting litigation and delaying interconnections that are occurring efficiently today. A narrower approach—focused on guidance, best practices, or minimum principles—offers a more durable, timely, and legally sustainable path.

Accordingly, in their initial comments, Southern Companies argued that the Commission could achieve the objectives of the ANOPR by using lessons learned from this proceeding to establish a list of national best practices for large load interconnections and adopt a policy statement or similar vehicle to encourage the use of these best practices. Others, including Meta, suggested a similar approach in their comments.²⁶ The Commission can exert considerable leadership in this area without mandating national standards that may only be necessary in some regions. Such an approach here would allow the Commission to promote consistency while preserving state authority and avoiding protracted litigation that is sure to stymie the stated goal of the ANOPR.

²⁴ Comments of R Street Institute, Docket No. RM26-4, at 1 (filed Nov. 21, 2025).

²⁵ MD PSC Comments at 5.

²⁶ See Meta Comments at 1.

E. Select Public Interest Organizations’ Critique of the Southeast Market Are Off-Base

In their initial comments, the Southern Environmental Law Center and other associated public interest organizations (“Southeast PIOs”) made a number of claims about resource procurement and load forecasting in the Southeast.²⁷ In particular, they argue that Georgia Power has been too “aggressive” in responding to large load demands on the system, creating a risk that certain transmission upgrades may be “under-utilized in the 10-year planning horizon if the new large load projects fail to move forward or are delayed.”²⁸ In the case of Georgia cited by the Southeast PIOs, Georgia Power has worked closely with the GPSC to balance the need for rapid response to large loads with a desire to protect existing retail customers from bearing any undue costs. This is also why Georgia Power revised its rules and regulations for large loads in excess of 100 MW to provide for certain minimum bill requirements, longer term lengths, and contract termination provisions to ensure that existing retail customers do not bear the costs of serving new large load customers.²⁹ Under these contracts, large load customers pay the full costs needed to serve them. When this balance is appropriately struck, the risk of stranded transmission investment is minimized, and the far greater risk of *under-forecasting* load (an outcome for which the Southeast PIOs directly advocate) and failing to do our part to meet this critical challenge of the day is avoided.

In essence, the Southeast PIOs seem to complain that vertically integrated utilities like Georgia Power are being too successful in facilitating new large loads like data centers. The fact that Southern Companies have been forward thinking and proactive in ensuring large loads—

²⁷ See Comments of the Southeast Public Interest Organizations, Docket No. RM26-4 (filed Nov. 21, 2025).

²⁸ *Id.* at 23.

²⁹ *Ord. Approving Revisions to Georgia Power Company’s Rules & Reguls.*, No. 44280, 2025 WL 388303 (Jan. 28, 2025); *In Re: Georgia Power Company’s 2022 Rate Case*, No. 44280, 2025 WL 1180825 (Apr. 17, 2025).

including data centers, AI and manufacturing—can interconnect and have timely access to reliable power shows that the regulatory framework in the Southeast is already working to achieve the goals of the ANOPR.

II. CONCLUSION

Southern Companies reiterate their support of the ANOPR’s stated objectives of timely and orderly interconnection of large loads to the transmission system, while also respectfully urging the Commission to focus on legally durable solutions that would not disrupt the successful outcomes already being achieved in the Southeast. Action that respects these jurisdictional boundaries and acknowledges regional differences will best support reliable and timely service to the large loads driving national economic growth. The Commission can provide meaningful leadership in this area without displacing state-supervised planning and service frameworks that are already producing successful outcomes for large-load interconnections.

[Signatures on following page]

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